

7. Companies ABC and WXY are manufacturers and distributors in the Agricultural Chemicals Industry. Their current share prices are \$46.05 and \$66.98 respectively and their earnings per share were \$2.76 and \$4.78 respectively in the last twelve months.
- Determine the P/E ratio for both companies.
 - Comment on the validity of using these P/E ratios in comparing companies ABC and WXY.
 - How can the P/E ratios be used by an investor to compare these companies?
 - Jarred invests in ABC Company. Using the given information, determine how long it will take for Jarred to recoup his investment costs? State any assumption(s) that need to be made.
 - Connie invests in WXY Company. Using the given information, determine how long it will take for Connie to recoup her investment costs? State any assumption(s) that need to be made.
8. An investor is considering purchasing stock in the gas and oil industry. His research reveals the following information about two such companies.
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|--------------|--|
| WA Offshore: | Market price of \$15.60 a share; dividend of 30 cents per share which represented 25% of after tax earnings. |
| Shalegas: | Market price of \$8.96; total share issue of 5.4 million, annual after tax earnings of \$6.048 million. |
- Calculate the earnings per share for WA Offshore.
 - Calculate the price to earnings ratio for WA Offshore.
 - Calculate the earnings per share for Shalegas.
 - Calculate the price to earnings ratio for Shalegas.
 - How can the P/E ratios be used by an investor to compare these companies?
9. Chris is considering investing in the textile industry. Research into two such companies gave Chris the following information.
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|--------------|--|
| Worstco Ltd: | Market price \$9.48 per share; the company paid a annual dividend of 18 cents per share and 12% of the company's annual earnings was paid as a dividend. |
| Texco Res: | Annual earnings per share \$1.08; price paid for 600 shares was \$5124. |
- Calculate the earnings per share for Worstco Ltd.
 - Calculate the price to earnings ratio for Worstco Ltd.
 - Calculate the market price of Texco Res shares
 - Calculate the price to earnings ratio for Texco Res.
 - Which company appears to be the better performer? Justify your response.
 - Advise Chris as to which shares he should purchase. Justify your response.

14. Shown below are Natalia's share portfolio details with the dividend per share issue.

Company	Number of shares	Market value	Dividend per share
Agrom Group	4000	\$1.78	3% of the share price
King and Co	2500	\$5.13	4.5% of the share price
Grimsoff Ltd	400	\$21.44	5.8% of the share price
WestCorp	3000	\$2.65	2.2% of the share price
Crystal GNP	6000	89c	1.4% of the share price

- (a) Calculate the total value of this share portfolio.

- (b) What dividend will Natalia receive?

15. Given below are the details of a portfolio of shares held by an investor:
- ABC Resources, 500 shares, current market value \$8.87, dividend \$1.12 per share
 - Ceramics Limited, 1600 shares, current market value \$1.34, dividend 56 cents
 - KFK Ltd, 850 shares, current market value \$2.54, dividend 2.6% of the current market value
 - Alkimos Group, 3000 shares, current market value \$10.23, dividend 12 cents
- (a) Calculate the total value of this portfolio.

- (b) Calculate the total dividend the investor will receive.

- (c) Express the total dividend as a percentage of the value of the portfolio.

16. North-West Petroleum declares an after tax profit of 4 million dollars and the directors decide to use \$1750000 for exploration and distribute the remaining profit to its shareholders. The company has a total share issue of 30 million shares.
- (a) How much is paid in dividends by North-West Petroleum?

- (b) Determine the dividend per share.

- (c) What total dividend will a shareholder with 22000 shares receive?

17. The directors of a company decide to pay out 75% of its after tax profit of \$5.5 million as a dividend. The company has a total share issue of 15 million shares.
- (a) How much is to be paid out as a dividend?

- (b) Determine the dividend per share.

- (c) Determine the dividend paid to a shareholder who owns 7000 shares in this company.